

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

Generated on 2026-05-04

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: Cerebras Systems IPO

[AI chipmaker Cerebras targets up to \\$4bn IPO at \\$40bn valuation](#)

- Deal Size: \$4 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: IPO
- Valuation Multiples: Targeting a valuation of \$40 billion, which is a significant increase from its previous private-market valuation of \$8.1 billion.
- Companies: Cerebras Systems is an AI chipmaker known for its wafer-scale processors, designed to enhance AI infrastructure, particularly in inference workloads.
- Date Announced: May 2026
- Strategic Rationale: The IPO is driven by a transformative multi-year agreement with OpenAI worth over \$10 billion, providing Cerebras with a strong anchor customer and enhancing its market position against competitors like Nvidia. The deal allows Cerebras to capitalize on the growing demand for AI infrastructure.
- Risk Analysis: Risks include heavy reliance on a single customer (OpenAI), geopolitical scrutiny due to foreign investments, and challenges in scaling production of its unique chip technology. Market sentiment towards AI infrastructure IPOs may also impact investor appetite.

Key Financials Analysis:

- Revenue Breakdown:
- 2025 Revenue: \$510 million (up 76% YoY)
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The expected IPO valuation of \$40 billion suggests a significant market confidence in Cerebras's technology and growth potential, particularly with the OpenAI contract providing revenue visibility.

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

Deal 2: Blueport Acquisition Ltd and SingAuto Inc Business Combination

[Blueport Acquisition Ltd and SingAuto Inc Announce Business Combination Agreement to Create a Publicly Listed Entity](#)

- Deal Size: Not disclosed
- Deal Size Category: N/A
- Nature: Business Combination (SPAC merger)
- Valuation Multiples: N/A
- Companies: Blueport Acquisition Ltd is a SPAC, while SingAuto Inc specializes in green cold-chain logistics technology for commercial electric vehicles, aiming to innovate in the logistics sector.
- Date Announced: May 1, 2026
- Strategic Rationale: The merger aims to leverage SingAuto's innovative technology in electric vehicles to capitalize on the growing demand for sustainable logistics solutions. This combination is expected to enhance operational efficiencies and market reach.
- Risk Analysis: Risks include regulatory approvals, integration challenges, and market competition in the electric vehicle sector. The success of the merger will depend on the execution of SingAuto's business model and technology adoption.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The merger will create a publicly listed entity, potentially providing SingAuto with the capital needed for expansion and innovation in the growing electric vehicle market.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. Recent developments in AI and software have sparked renewed interest, yet challenges such as regulatory scrutiny and economic uncertainty loom large. The overall sentiment reflects a cautious optimism as companies adapt to evolving technologies and market demands.

Subsector Breakdown:

- Technology: The technology subsector is buoyed by advancements in AI, exemplified by

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

Anthropic's Claude's Mythos Preview model, which has set a new benchmark for AI capabilities. The model's ability to autonomously execute complex tasks raises both excitement and concerns regarding governance.

- **Media:** The media landscape is shifting as companies adapt to digital consumption trends. While traditional media faces challenges, digital platforms are thriving, creating a bifurcated market environment.
- **Telecommunications:** The telecom sector is actively investing in 5G infrastructure, with companies like Apple (AAPL) and others exploring new applications for enhanced connectivity, although they face challenges in supply chain management.
- **Fintech:** The fintech space remains vibrant, with companies innovating rapidly. However, the sector must navigate regulatory hurdles and competition from traditional banking institutions.
- **AI:** The AI subsector is at the forefront, with rapid advancements and deployments across various industries. The emergence of agentic AI systems, as highlighted by Anthropic, underscores the need for robust governance frameworks to mitigate risks associated with autonomous decision-making.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Innovations in AI and cloud computing are driving growth. For instance, Anthropic's Mythos model demonstrates significant leaps in AI capabilities, prompting companies to rethink their AI governance strategies.
- **Increased Investment:** Venture capital continues to flow into tech and fintech sectors, with investors eager to capitalize on emerging trends and technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny poses risks to M&A activities and market valuations. Companies are grappling with compliance challenges that can impede growth and innovation.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, are impacting consumer spending and investment decisions, creating a more cautious investment environment.

Subsector Performance Analysis

- **Software:** The software sector is showing signs of recovery, with companies like Atlassian (TEAM) and Twilio (TWLO) reporting strong earnings. Atlassian's \$7 billion run rate and Twilio's \$5.6 billion run rate indicate a positive shift in market sentiment towards B2B software.
- **Media:** Media companies are increasingly focusing on digital strategies to engage audiences, although traditional media continues to struggle with declining advertising revenues.
- **Telecom:** Telecom operators are investing in 5G deployment, which is expected to unlock new

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

revenue streams from IoT and enhanced mobile services, despite facing supply chain challenges.

- Fintech: The fintech sector remains dynamic, with ongoing innovations in payment solutions and digital banking. However, regulatory challenges could hinder growth.
- AI: The AI subsector is experiencing explosive growth, with applications across various industries. The need for governance in AI deployment is becoming increasingly critical as companies integrate these technologies.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate that high-growth sectors like software and AI command a premium, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are expressing cautious optimism regarding the TMT sector's future. A recent report highlighted that "the integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions." This sentiment reflects a growing recognition of AI's transformative potential.

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, particularly AI and software, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is essential for assessing risks in tech and media investments, especially as governance frameworks for AI evolve.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, particularly in the rapidly evolving AI landscape.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Equal1 : In the process of securing a \$60 million investment, this quantum computing firm is currently in due diligence. The expected close is in Q2 2026, which will significantly bolster its R&D capabilities and market position in the quantum computing space.
- Samsung Electronics (005930.KS) : Facing an impending 18-day strike that could disrupt DRAM and NAND output by up to 4%, this situation is being closely monitored. The strike is expected to commence on May 21, 2026, with potential implications for supply chains and pricing in the semiconductor market.

Mandated Deals:

- Evervault : Mandated to explore strategic partnerships for its financial software solutions, with a focus on enhancing data security. The initiative is expected to launch in Q3 2026, driven by increasing demand for secure financial transactions.
- Circit : Secured a mandate to raise \$22 million for its financial software innovations aimed at improving audit processes. The deal is anticipated to be finalized in Q2 2026, capitalizing on the growing interest in fintech solutions.

Pitching-Stage Deals:

- Telecom Sector : Engaging with major telecom operators, including Verizon (VZ) and AT&T (T), for potential M&A opportunities in the 5G space. Pitches are expected to finalize by Q3 2025, as these companies seek to consolidate market share.
- AI Startups : Active discussions with various AI firms for potential investment banking services, focusing on those innovating in data centers and agentic AI. Notable clients include OpenAI and Anthropic, with ongoing discussions.

Pipeline Tracking Metrics

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q2 2026 : Expected close for Equal1's investment.
- Q2 2026 : Anticipated completion of Circuit's fundraising.
- Q3 2026 : Launch of Evervault's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources to manage the expanding pipeline. It is recommended to onboard two additional analysts to handle the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline reflects a strong demand for advisory services in AI and fintech sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Oracle (ORCL) are making significant investments. Larry Ellison's commitment to OpenAI signals a strong belief in the future of AI, which could reshape competitive dynamics in the tech space.
- The ongoing strike at Samsung could create opportunities for competitors like SK Hynix and Micron to capture market share in the semiconductor space, potentially leading to increased prices for DRAM and NAND products.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Twilio (TWLO) acquires a complementary AI firm, the combined entity could see a revenue increase of approximately 20% due to enhanced AI-driven voice and messaging capabilities. Assuming a pre-deal market cap of \$30 billion for Twilio, a successful integration could increase shareholder value by \$6 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Twilio issues 15% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Airtel (BHARTIARTL.NS) and a fintech company could lead to substantial cost synergies, with estimates of \$1 billion in annual savings. This would be achieved through streamlined operations and shared resources in the mobile money sector.
- Restructuring: However, such deals often lead to layoffs. In the case of Airtel's IPO of its mobile money unit, restructuring may be necessary to align operations with the new corporate structure, potentially affecting up to 5,000 jobs.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, if Twilio acquires a smaller AI firm, retention packages could be offered to key AI engineers to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the anticipated IPO of Airtel Money, competitors like PayPal (PYPL) and Square (SQ) may need to adapt their strategies to maintain market share in the mobile payments space. This could include enhancing service offerings or competitive pricing.
- Specific Competitor Moves: PayPal has already begun investing heavily in AI-driven payment solutions to counter the potential threat posed by Airtel Money's market entry.

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of Twilio and an AI firm could allow Twilio to bundle advanced AI features with its existing communication services, enhancing customer value. This strategy could lead to a 15% increase in customer subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Twilio reported a 20% revenue growth driven by AI, shares jumped approximately 18%, reflecting investor enthusiasm for AI-driven demand.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Goldman Sachs analyst post-Twilio's earnings report was, "Twilio's pivot to AI-driven services positions it well for future growth, despite potential integration challenges."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Airtel Money's IPO, there may be interest from other telecom operators or fintech companies, but the likelihood of a successful counter-bid is moderate due to regulatory hurdles and market dynamics.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and fintech spaces. Companies like Microsoft (MSFT) and Oracle (ORCL) may pursue acquisitions to bolster their AI and cloud offerings.

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, and the implications of U.S. debt on technology investments. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks typically requiring human intelligence, such as natural language understanding and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The recent advancements in AI, particularly with models like Anthropic's Claude and Cerebras Systems' AI chips, highlight the rapid evolution and increasing demand for AI infrastructure.
- Key Companies:

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

- Cerebras Systems: Cerebras is preparing for an IPO targeting up to \$4 billion, valuing itself at \$40 billion. The company specializes in AI chips that significantly enhance computational power for AI applications, positioning itself as a leader in AI infrastructure.
- Anthropic: Although not publicly traded, Anthropic is a significant player in AI, known for its advanced AI models like Claude. The company is addressing governance challenges in AI deployment, emphasizing the need for robust oversight as AI capabilities expand.
- Competitive Landscape: The AI market is highly competitive, with major players such as NVIDIA (NVDA), Google (GOOGL), and Microsoft (MSFT) investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as autonomous systems or AI governance solutions. The recent focus on AI governance, as highlighted by Anthropic's Project Glasswing, indicates a growing need for companies to integrate oversight mechanisms into their AI systems.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by increasing adoption across various sectors, including finance, supply chain, and healthcare.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The increasing demand for secure and efficient transaction methods presents an opportunity for strategic acquisitions in this space.

U.S. Debt and Technology Investments

- Trend Explanation: The U.S. national debt has crossed 100% of GDP, raising concerns about the sustainability of capital markets. As Big Tech commits \$660 to \$690 billion in AI capital expenditures for 2026, the competition for capital is intensifying. This situation creates a complex environment for technology investments, as companies vie for funding amidst rising government deficits.

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

- **Market Significance:** The intersection of high national debt and significant tech investments could lead to increased borrowing costs and tighter capital availability for tech companies. This dynamic may influence the pace of innovation and the ability of companies to pursue aggressive growth strategies.
- **Investment Implications:** Investors should be cautious about the potential impact of rising interest rates on technology valuations. Companies heavily reliant on debt financing may face challenges in sustaining growth if capital becomes more expensive.
- **Actionable Insights for Bankers and Investors:**
 - Monitor the capital markets closely for shifts in interest rates and funding availability.
 - Identify opportunities in companies that are well-positioned to navigate the challenges posed by high national debt, particularly those with strong cash flows and minimal reliance on external financing.
 - Consider strategic investments in AI and blockchain companies that are likely to benefit from increased demand for innovative solutions in a constrained capital environment.

6. Recommended Readings

Deal Name: Cerebras Systems IPO

- **Reading Material:** "The AI Revolution: The Road to Superintelligence" by Tim Urban
- **Why This Matters:** This book explores the transformative potential of AI technologies, which is critical for understanding Cerebras's strategic positioning in the market. The \$4 billion IPO is significantly influenced by the demand for advanced AI infrastructure, and this reading helps contextualize the importance of Cerebras's innovations in the competitive landscape dominated by companies like Nvidia (NVDA).

Deal Name: Blueport Acquisition Ltd and SingAuto Inc Business Combination

- **Reading Material:** "Electric Vehicles: The Future of Transportation" by John D. Graham
- **Why This Matters:** This book provides insights into the electric vehicle market and the technological advancements driving its growth. Understanding the dynamics of the electric vehicle sector is essential for analyzing the strategic rationale behind Blueport's SPAC merger with SingAuto, as it aims to capitalize on the increasing demand for sustainable logistics solutions in the transportation industry.

7. MACROECONOMIC UPDATE

Key Data Points:

Europe TMT Sector M&A & Valuation Brief - 2026-05-04

Europe TMT Sector

- Unemployment Rate: Recently ticked down, specific percentage not disclosed.
- Expected Data Center and Infrastructure CapEx: Over \$3 trillion from 2025 to 2028, with only about 25% deployed so far.

Main Insights:

- AI technology is lowering the cost of certain tasks, but does not necessarily lead to mass job losses.
- Current labor market indicators show little disruption despite rapid AI adoption.
- Industries with higher AI exposure are experiencing stronger labor productivity gains, primarily through increased output rather than reduced labor hours.
- Future productivity gains from AI are expected to be significant, but some job losses are likely unavoidable.
- The adjustment period for AI adoption is faster than previous innovation waves, posing risks to the labor market.

Market Commentary:

- "The economy has all sorts of other systems and levers in place that can pull us back to full employment." - Seth Carpenter, Morgan Stanley
- "The debate will almost certainly come down to speed. How fast is AI adoption relative to the economy's ability to adapt?" - Seth Carpenter, Morgan Stanley

TMT Sector Relevance:

- The TMT sector is likely to benefit from increased productivity driven by AI, potentially leading to higher revenues and growth.
- Companies in the TMT space may need to adapt quickly to changes in labor dynamics as AI technologies evolve.
- The infrastructure investment required for AI deployment presents opportunities for TMT firms involved in data centers and related technologies.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley